

STRATUM CAPITAL BANK

ENTERPRISE GOVERNANCE & RISK FRAMEWORK

CHAPTER 13

Credit Risk Feature Reference Manual

Consumer & Retail Lending Underwriting Reference

Document Owner: Enterprise Credit Risk Management Division

Applicable To: Credit Officers, Loan Underwriters, Risk Managers, Branch Managers,
Credit Committees, and Internal Audit

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Chapter 13 — Credit Risk Feature Reference Manual

13.1 Introduction to Borrower Risk Assessment

This chapter establishes the enterprise reference standard for evaluating borrower and loan-level characteristics used throughout the consumer and retail lending lifecycle at Stratum Capital Bank. It is issued under the authority of the Enterprise Governance & Risk Framework (EGRF) and is binding upon all Credit Officers, Loan Underwriters, Risk Managers, Branch Managers, and Credit Committee members involved in the origination, review, or approval of consumer credit facilities. Internal Audit shall use this chapter as the reference standard when testing underwriting files for policy compliance.

The purpose of borrower assessment is to determine, with a reasonable and defensible degree of confidence, the probability that an applicant will repay a proposed credit obligation according to its contractual terms. No single data point is sufficient to make this determination. Annual income alone does not indicate affordability without reference to existing obligations; a strong credit score alone does not guarantee continued repayment capacity if income is unstable or unverifiable; a long employment history does not offset an unsustainable debt burden. Sound underwriting requires the simultaneous evaluation of borrower profile characteristics, loan characteristics, affordability indicators, and credit history in combination, with each feature interpreted in light of the others rather than in isolation.

13.1.1 Relationship Between Borrower Information and Credit Risk

Every item of borrower information collected during origination serves one or more of the following risk-management functions: (i) establishing repayment capacity, (ii) establishing repayment willingness and track record, (iii) establishing the stability and durability of the borrower's financial position, and (iv) enabling the Bank to price the facility commensurate with the risk assumed. Features that speak to capacity include annual income, employment length, and debt-to-income ratio. Features that speak to willingness and track record include FICO score, delinquency history, public records, and bankruptcy history. Features that speak to stability include home ownership status, credit history length, and account structure. Loan characteristics such as amount, term, purpose, and interest rate determine the magnitude and pricing of the risk being underwritten.

13.1.2 Why Multiple Features Are Evaluated Together

Credit risk is multidimensional, and individual features frequently offset or amplify one another. A borrower with a high annual income but an elevated debt-to-income ratio may present materially more risk than a borrower with a moderate income and low existing obligations. Similarly, a borrower with a shorter employment history but excellent credit history and low revolving utilization may be a stronger credit than a borrower with long tenure but deteriorating credit indicators. For this reason, this manual documents not only each feature in isolation but also, in Section 13.6, the manner in which combinations of features should be interpreted by Credit Officers and Credit Committees.

13.1.3 Responsible Lending Principles

Stratum Capital Bank's underwriting practice is grounded in the principle that credit should be extended only where the Bank has a reasonable basis to conclude the borrower can repay the obligation without undue hardship. Responsible lending requires:

- Verification of income and material borrower representations proportionate to loan size and risk tier;
- Assessment of affordability net of existing debt service obligations, not merely gross income;
- Avoidance of approval structures that rely on refinancing, asset liquidation, or future income increases as the primary repayment source;
- Clear documentation of the rationale supporting every approval, decline, or exception decision; and
- Consistent application of underwriting standards across similarly situated applicants.

13.1.4 Risk-Based Lending Philosophy

The Bank does not operate a uniform accept/decline threshold. Instead, pricing and structuring are calibrated to the risk tier of the applicant, consistent with the Bank's risk-based pricing framework referenced in Chapter 9 (Pricing & Product Governance). Applicants presenting stronger combined risk indicators are eligible for more favorable pricing, higher loan-to-income structures, and expedited approval paths. Applicants presenting weaker combined indicators may still be approved, but typically at higher pricing, with additional structuring (for example, reduced loan amount, shorter term, or additional collateral or guarantor support), or subject to Credit Committee referral.

13.1.5 Importance of Data Quality

The reliability of any underwriting decision is only as strong as the accuracy of the underlying borrower data. Credit Officers must ensure that self-reported figures (particularly annual income and employment length) are reconciled against supporting documentation wherever the applicant's risk tier or requested loan amount requires verification under Section 13.2.4. Data entry errors, stale credit bureau pulls, and unreconciled discrepancies between application data and supporting documents are leading causes of downstream credit losses and must be treated as a control priority by Branch Managers and Internal Audit alike.

13.1.6 Regulatory Considerations

All underwriting activity described in this chapter must be conducted in a manner consistent with applicable fair lending and consumer protection requirements, the Bank's Truth-in-Lending and disclosure obligations, and the Bank's obligations under applicable capital adequacy and credit risk management guidance. Underwriting features and thresholds documented in this chapter must never be applied, directly or indirectly, on the basis of a protected characteristic. Credit Officers who identify an apparent conflict between a provision of this chapter and applicable law or regulation must escalate immediately to Credit Policy and to Compliance prior to acting.

13.2 Borrower Profile Features

This section documents the core borrower profile characteristics collected at application and used throughout underwriting. Each feature is presented with its definition, business purpose, risk interpretation, and practical guidance for Credit Officers.

13.2.1 Annual Income

DEFINITION

Annual Income is the borrower's total gross income received on an annualized basis from all reportable sources, including base salary or wages, self-employment income, bonus and commission income, pension and retirement income, and other recurring income the applicant elects to disclose and, where required, substantiate.

BUSINESS PURPOSE

Annual Income is the foundation of the affordability assessment. It establishes the gross resource base against which existing and proposed debt obligations are measured, and it is the numerator input used in conjunction with Debt-to-Income Ratio (Section 13.4.1) to determine whether a proposed installment is sustainable.

IMPORTANCE DURING UNDERWRITING

Income is used at three distinct points in the underwriting workflow: (1) initial eligibility screening against minimum product thresholds; (2) affordability calculation in combination with proposed installment and existing obligations; and (3) risk-tier placement, where income stability and sufficiency contribute to the overall borrower risk grade.

LOW-RISK CHARACTERISTICS

- Income sufficiently in excess of proposed and existing obligations to leave a reasonable affordability buffer;
- Income derived from a single, stable, verifiable source rather than multiple irregular sources;
- Income consistent with, or corroborated by, employment length and occupation;
- Income independently verifiable through payroll documentation, tax filings, or direct employer confirmation.

HIGH-RISK CHARACTERISTICS

- Income that is disproportionately high relative to stated occupation, employer, or employment length without supporting explanation;
- Income composed primarily of variable, seasonal, or commission-based components without a multi-year averaging basis;
- Self-reported income that cannot be verified and falls into a risk tier or loan size requiring verification under Section 13.2.4;

- Income at or near the minimum qualifying threshold for the requested product with minimal affordability buffer.

IMPACT ON APPROVAL

Insufficient income relative to proposed obligations is one of the most common standalone reasons for decline or for counteroffer at a reduced loan amount. Where income is adequate but unverified, the file should be routed for verification rather than declined outright, consistent with Section 13.2.4.

RELATIONSHIP WITH OTHER BORROWER FEATURES

Annual Income must always be read together with Debt-to-Income Ratio, Loan Amount, and Verification Status. A high income figure that is unverified carries materially less weight than a moderate, fully verified income figure. Similarly, high income paired with high existing revolving balances may still yield an unfavorable affordability position.

Example. An applicant reports annual income of \$95,000 as a salaried operations manager with four years of tenure at the same employer. Payroll documentation confirms the figure. This income is treated as fully verified and is used directly in the affordability calculation without haircut.

Common Mistake. Treating stated income as verified income for underwriting purposes without confirming that the applicant's risk tier and loan size did not require documentary verification under Section 13.2.4. Any file relying on unverified income above the applicable verification threshold must be corrected prior to approval.

PRACTICAL LENDING SCENARIO

A self-employed applicant reports fluctuating annual income of \$60,000–\$110,000 over the preceding three tax years. Best practice is to use a conservative multi-year average (typically the lower of the two-year average or the most recent year, whichever is more conservative) rather than the peak year, and to require two years of tax filings as supporting documentation.

13.2.2 Employment Length

DEFINITION

Employment Length is the duration, typically expressed in complete years, that the applicant has been continuously employed with their current employer or, where applicable, continuously self-employed in the same trade or profession.

BUSINESS PURPOSE

Employment Length serves as a proxy for income stability and continuity. A longer tenure with a single employer generally indicates a lower likelihood of near-term income disruption, which directly supports the durability of the affordability assessment established under Section 13.2.1.

IMPORTANCE DURING UNDERWRITING

Employment Length is weighted most heavily for applicants whose income is variable or whose overall risk grade is borderline. For applicants with strong credit history and conservative Debt-to-Income Ratios, Employment Length carries comparatively less standalone weight.

LOW-RISK CHARACTERISTICS

- Ten or more years with the current employer, or a demonstrated pattern of long tenures across a stable career history;
- Employment in an industry or role with low cyclical relative to prevailing economic conditions;
- Consistent employer-to-employer progression without unexplained gaps.

HIGH-RISK CHARACTERISTICS

- Less than one year with the current employer, particularly where combined with a recent change in occupation or industry;
- Frequent employer changes within a short period without a clear pattern of career advancement;
- Unexplained gaps in employment history immediately preceding the application.

IMPACT ON APPROVAL

Short employment tenure is rarely a standalone decline reason but will typically result in a more conservative affordability treatment, additional documentation requests (such as an offer letter or employment verification letter), or placement in a higher risk tier for pricing purposes.

RELATIONSHIP WITH OTHER BORROWER FEATURES

Employment Length interacts closely with Annual Income and Verification Status. A short tenure paired with a recent, substantial increase in income should prompt additional verification. Conversely, a short tenure that reflects a lateral move within the same industry, at comparable or improved compensation, is a materially lower risk pattern than a short tenure reflecting a career change.

Example. An applicant has eight months of tenure at their current employer but sixteen years of continuous experience in the same industry, having moved employers twice for advancement. This pattern is treated as low-risk despite the short current tenure.

Common Mistake. Automatically assigning higher risk to any applicant with under two years' tenure without examining whether the change reflects career progression within a stable industry versus an unexplained or lateral change following a gap.

13.2.3 Home Ownership

DEFINITION

Home Ownership status classifies the applicant's housing arrangement as Own (holds title, with or without an outstanding mortgage), Mortgage (holds title subject to an active mortgage lien), Rent, or Other (including arrangements such as living with family without a formal tenancy).

BUSINESS PURPOSE

Home Ownership status is a proxy for asset accumulation, housing cost stability, and, where a mortgage is present, the existence of an additional recurring obligation that must be captured in the affordability assessment.

IMPORTANCE DURING UNDERWRITING

Beyond its contribution to the overall risk grade, Home Ownership status determines whether housing costs are already reflected in bureau-reported obligations (as with an existing mortgage) or must be separately confirmed (as with rental obligations not reported to credit bureaus).

LOW-RISK CHARACTERISTICS

- Outright ownership with no outstanding mortgage, indicating an established asset base and reduced fixed housing cost;
- Ownership subject to a mortgage with a demonstrated, current payment history reflected on the credit bureau file.

HIGH-RISK CHARACTERISTICS

- Housing arrangement classified as Other, which may indicate limited independent financial history or reliance on shared household resources;
- Renting in a high-cost housing market combined with limited asset accumulation elsewhere in the file.

IMPACT ON APPROVAL

Home Ownership status alone rarely drives an approval or decline decision. It is used principally to corroborate the affordability calculation (by confirming or supplementing housing-related obligations) and as a secondary input into overall risk-tier placement.

RELATIONSHIP WITH OTHER BORROWER FEATURES

Home Ownership should be read together with Debt-to-Income Ratio and Mortgage Accounts (Section 13.4.4). Renters' housing costs are frequently not reflected in the bureau-reported obligations used to calculate DTI and must be confirmed separately where material to affordability.

Example. An applicant renting at \$2,200 per month has no mortgage obligation reflected on the credit bureau file. The Credit Officer must incorporate the disclosed rental obligation into the manual affordability calculation even though it does not appear in the bureau-derived DTI figure.

13.2.4 Verification Status

DEFINITION

Verification Status indicates the degree to which the applicant's stated income has been independently confirmed, classified as Verified (confirmed against payroll records, tax filings, or direct employer/third-party confirmation), Source Verified (confirmed as to the existence of the income source but not the specific amount), or Not Verified (relying solely on applicant representation).

BUSINESS PURPOSE

Verification Status governs the degree of confidence the Bank may place in the income figure used throughout the affordability assessment. It is a control feature rather than a borrower characteristic: it does not describe the borrower's creditworthiness directly, but it determines how much weight other features (particularly Annual Income) may be given.

IMPORTANCE DURING UNDERWRITING

Per the Bank's verification thresholds (see Table 13.2.4-A), verification requirements scale with requested loan amount and preliminary risk tier. Higher loan amounts and weaker preliminary risk grades require a higher standard of verification before the stated income may be relied upon at face value.

Loan Amount Band	Preliminary Risk Tier	Minimum Verification Standard
Below product micro-threshold	Any	Source Verified acceptable
Mid-range	Tier 1–2 (Strong)	Source Verified acceptable; Verified preferred
Mid-range	Tier 3–4 (Moderate/Weak)	Verified required
Above standard product ceiling	Any	Verified required; Credit Committee referral if unavailable

LOW-RISK CHARACTERISTICS

- Verified status supported by recent payroll records or tax filings consistent with the stated figure;
- Employer confirmation obtained directly through a third-party employment verification service.

HIGH-RISK CHARACTERISTICS

- Not Verified status on a file where the loan amount or risk tier requires Verified status under Table 13.2.4-A;
- Documentation that is stale (older than the Bank's applicable document-age standard) or inconsistent with other file information.

IMPACT ON APPROVAL

A file that does not meet the applicable minimum verification standard may not be approved on the stated income; it must either be routed for further verification or underwritten using a conservatively haircut income figure, subject to Credit Officer authority limits.

RELATIONSHIP WITH OTHER BORROWER FEATURES

Verification Status directly modifies the reliability of Annual Income and, by extension, Debt-to-Income Ratio. It should never be evaluated as a standalone approval factor but always as a qualifier on the income and affordability figures it supports.

Common Mistake. Approving a loan at the standard product ceiling on Not Verified income because the applicant's stated figures "look reasonable." Verification Status requirements are not discretionary above the applicable threshold.

13.2.5 Application Type

DEFINITION

Application Type identifies whether the credit application is Individual (a single applicant is solely obligated) or Joint (two or more applicants are jointly and severally obligated, with combined income and combined credit history considered).

BUSINESS PURPOSE

Application Type determines the scope of income, debt, and credit history that must be aggregated for the affordability and credit history assessments, and it determines the parties against whom the Bank may pursue recovery in the event of default.

IMPORTANCE DURING UNDERWRITING

For Joint applications, Credit Officers must aggregate income and existing obligations for both applicants and must review the credit history of each applicant individually as well as in combination, since a strong co-applicant does not cure a materially adverse individual history without further analysis.

LOW-RISK CHARACTERISTICS

- Joint applications where both applicants independently meet minimum income and credit standards;
- Individual applications with a fully verified, sufficient standalone income and credit profile.

HIGH-RISK CHARACTERISTICS

- Joint applications where approval is achievable only by combining incomes and one applicant independently presents materially adverse credit history;
- Individual applications reliant on informal, undisclosed household income not captured on the application.

IMPACT ON APPROVAL

Joint applications may support a higher approved loan amount than either applicant would individually qualify for, but Credit Officers must document the individual credit assessment of each applicant in addition to the combined assessment, and must decline or refer to Credit Committee where either applicant independently presents disqualifying credit history.

RELATIONSHIP WITH OTHER BORROWER FEATURES

Application Type modifies how Annual Income, Debt-to-Income Ratio, and all Credit History Features (Section 13.5) are calculated and interpreted; it is a structural feature rather than a risk feature in its own right.

Example. A joint application combines a primary applicant with strong credit history and moderate income with a co-applicant carrying a materially lower FICO score but meaningful additional income. The Credit

Officer documents both the combined affordability position and the individual credit assessment of the co-applicant before recommending approval, pricing, or Committee referral.

13.3 Loan Characteristics

This section documents the structural loan characteristics that determine the size, cost, and purpose of the proposed credit facility, and their relationship to overall credit risk.

13.3.1 Loan Amount

DEFINITION

Loan Amount is the total principal requested by the applicant and, upon approval, extended by the Bank under the facility.

RISK INTERPRETATION

Loan Amount is not inherently risky in isolation; its risk contribution arises from its relationship to the borrower's income, existing obligations, and collateral (where applicable). A larger Loan Amount increases the absolute exposure of the Bank and increases the resulting installment, which in turn affects Debt-to-Income Ratio.

BUSINESS REASONING

Underwriting must confirm that the requested amount is consistent with the stated purpose (Section 13.3.4), that the resulting installment is affordable under Section 13.4.1, and that the amount falls within product and risk-tier ceilings established by Credit Policy.

APPROVAL CONSIDERATIONS

- Loan Amount relative to Annual Income (loan-to-income ratio) should be evaluated against product-specific ceilings;
- Requests materially above the amount reasonably required for the stated purpose should prompt additional inquiry;
- Where a requested amount would produce an installment that fails the affordability test, a reduced counteroffer amount should be considered before declining outright.

PRICING IMPLICATIONS

Larger Loan Amounts, particularly those approaching product ceilings, are generally priced with reference to the applicant's full risk tier rather than benefiting from any standard pricing discount, since absolute exposure to the Bank is elevated.

Example. An applicant with verified income of \$70,000 and minimal existing debt requests \$18,000 for debt consolidation. The requested amount is consistent with the stated purpose and produces an installment well within affordability limits; standard processing applies.

UNDERWRITING NOTES

Credit Officers should never evaluate Loan Amount without simultaneously calculating the resulting Installment (Section 13.3.3) and its effect on Debt-to-Income Ratio (Section 13.4.1).

13.3.2 Interest Rate

DEFINITION

Interest Rate is the annualized nominal rate applied to the outstanding principal balance of the facility, determined by product, term, and the applicant's assigned risk tier under the Bank's risk-based pricing framework.

RISK INTERPRETATION

Interest Rate is principally an output of the underwriting process rather than an independent risk input: it reflects the risk tier assigned based on all other borrower and loan characteristics. However, once assigned, the resulting rate directly affects the Installment amount and therefore feeds back into the affordability assessment.

BUSINESS REASONING

Risk-based pricing ensures that the return generated by stronger credits is not diluted by higher expected losses from weaker credits, and that weaker credits are not systematically underpriced relative to their expected loss profile.

APPROVAL CONSIDERATIONS

Where a rate assigned under standard risk-tier pricing produces an installment that fails affordability, Credit Officers should consider a reduced Loan Amount or extended Term rather than an off-policy rate reduction, which requires Credit Committee approval.

PRICING IMPLICATIONS

Risk Tier	General Rate Positioning	Typical Structuring Response
Tier 1 (Strong)	Base tier pricing	Standard terms, expedited approval
Tier 2 (Good)	Modest premium to base	Standard terms
Tier 3 (Moderate)	Meaningful premium to base	Consider reduced amount or shorter term
Tier 4 (Weak)	Maximum policy premium or decline	Committee referral; additional structuring required

CASE STUDY NOTE

A Tier 3 applicant requests the maximum available loan amount at the standard term. The resulting installment, at Tier 3 pricing, fails the affordability test. Rather than declining, the Credit Officer restructures to a longer term, which reduces the installment sufficiently to satisfy affordability while preserving appropriate risk-based pricing.

13.3.3 Installment

DEFINITION

Installment is the periodic (typically monthly) payment obligation produced by the combination of Loan Amount, Interest Rate, and Loan Term.

RISK INTERPRETATION

Installment is the single most direct determinant of affordability, as it represents the actual recurring cash outflow the borrower must service from disposable income. Installment must always be evaluated as a proportion of income and in combination with existing obligations, never as an absolute figure alone.

BUSINESS REASONING

Two loans of identical principal can present very different affordability profiles depending on term and rate; underwriting must therefore always assess the resulting Installment rather than Loan Amount in isolation.

APPROVAL CONSIDERATIONS

The proposed Installment, combined with existing reported obligations, must not cause the applicant's Debt-to-Income Ratio to exceed the maximum threshold applicable to the product and risk tier, as detailed in Section 13.4.1.

Common Mistake. Approving based on Loan Amount falling within product ceilings without independently confirming that the resulting Installment satisfies the affordability threshold at the applicant's specific rate and term.

13.3.4 Loan Purpose

DEFINITION

Loan Purpose is the applicant's stated intended use of proceeds, categorized under standard product classifications such as debt consolidation, home improvement, major purchase, medical expense, small business, or other stated purpose.

RISK INTERPRETATION

Certain purposes carry different typical risk profiles based on the Bank's historical loss experience by purpose category. Debt consolidation, for example, requires additional scrutiny of the borrower's underlying spending behavior, since a consolidation loan that is not paired with a change in the borrower's revolving utilization pattern (Section 13.4.3) frequently precedes renewed balance accumulation.

BUSINESS REASONING

Confirming that the stated purpose is consistent with the requested amount and the borrower's overall profile is a basic fraud-prevention and suitability control, in addition to its risk-differentiation function.

APPROVAL CONSIDERATIONS

- Debt consolidation purposes should be cross-checked against the applicant's existing revolving balances to confirm the stated consolidation is realistic in amount;
- Small business purpose applications should be reviewed for consistency with the applicant's income source and, where the amount is material, may require referral to the Bank's small business lending unit rather than consumer underwriting;
- Purpose stated as "other" without further detail should prompt a follow-up inquiry where the loan amount is not nominal.

Example. An applicant requests \$22,000 for debt consolidation, but disclosed revolving balances total only \$9,000. The Credit Officer inquires further and confirms the balance includes an installment obligation not visible on the initial bureau summary; the purpose is confirmed as consistent following clarification.

13.3.5 Loan Term

DEFINITION

Loan Term is the contractual repayment period of the facility, typically expressed in months, over which the principal and interest are amortized.

RISK INTERPRETATION

Longer terms reduce the periodic Installment and therefore improve near-term affordability, but they increase the Bank's total duration of exposure to the borrower and increase total interest cost to the borrower. Shorter terms increase the Installment but reduce exposure duration and total interest cost.

BUSINESS REASONING

Term selection is a structuring lever available to Credit Officers to bring an otherwise unaffordable Installment within acceptable limits, and should be used deliberately rather than defaulted to the maximum available term in all cases.

APPROVAL CONSIDERATIONS

Extending Term to cure an affordability shortfall is acceptable within product-approved term ranges; extending Term beyond the standard range, or extending Term for a borrower already in a weak risk tier, should be referred to Credit Committee given the extended exposure duration on a weaker credit.

UNDERWRITING NOTES

Term should always be considered jointly with Interest Rate and Loan Amount, since all three jointly determine Installment, and Installment is the operative affordability figure.

13.4 Debt & Affordability Features

This section documents the features used to assess the borrower's existing debt burden and capacity to absorb an additional obligation.

13.4.1 Debt-to-Income Ratio (DTI)

DEFINITION

Debt-to-Income Ratio is the percentage of gross monthly income consumed by required minimum monthly debt payments, inclusive of the proposed new Installment, calculated as total monthly debt obligations divided by gross monthly income.

CALCULATION

DTI = (Sum of existing minimum monthly debt payments + proposed new Installment) ÷ Gross monthly income, expressed as a percentage.

INTERPRETATION

DTI is the single most direct affordability measure used in consumer underwriting. It expresses, independent of the absolute size of the borrower's income, the proportion of that income already or prospectively committed to debt service.

RISK THRESHOLDS

DTI Band	Risk Classification	Standard Treatment
Below 20%	Low	Standard approval eligible
20% – 35%	Moderate	Standard approval eligible; monitor other factors
35% – 43%	Elevated	Requires compensating factors (strong FICO, verified stable income, low utilization)
Above 43%	High	Decline or Credit Committee referral with documented exception rationale

ACCEPTABLE RANGES

Standard product policy sets 43% as the maximum DTI for approval without Committee exception; certain secured or lower-risk products may permit a higher ceiling subject to compensating factors documented in the applicable product addendum.

BUSINESS IMPACT

DTI directly drives the affordability decision and is a primary determinant of both approval and maximum approvable Loan Amount; Credit Officers should treat DTI as the controlling affordability metric ahead of any single income or debt figure viewed alone.

Example. An applicant with gross monthly income of \$6,500 carries existing minimum payments of \$900 and proposes a new Installment of \$450. $DTI = (\$900 + \$450) \div \$6,500 = 20.8\%$, within the low-risk band.

Warning Sign. A DTI calculation that relies on stated rather than verified income, or that omits an obligation visible elsewhere in the file (such as an undisclosed co-signed obligation), understates true risk and must be corrected before approval.

TYPICAL APPROVAL GUIDANCE

Applications with DTI in the elevated band should be approved only where at least two compensating factors are present and documented, consistent with Section 13.6.

13.4.2 Revolving Balance

DEFINITION

Revolving Balance is the aggregate outstanding balance across the applicant's revolving credit accounts (principally credit cards and lines of credit) as of the most recent credit bureau reporting date.

CALCULATION

Revolving Balance is reported directly by the credit bureau as an aggregate across all open revolving tradelines.

INTERPRETATION

Revolving Balance in isolation is less informative than Revolving Utilization (Section 13.4.3), since a given balance may represent either a small or large proportion of available credit depending on the borrower's total credit limits. It is nonetheless useful as an absolute indicator of debt accumulation and, combined with income, contributes to the overall affordability picture.

RISK THRESHOLDS

No fixed dollar threshold applies universally; Revolving Balance should be assessed relative to income (a balance-to-income ratio) and, more importantly, relative to available limits per Section 13.4.3.

BUSINESS IMPACT

A high absolute Revolving Balance combined with minimum-payment-only servicing patterns visible on the bureau file is a leading indicator of financial stress, even where current DTI remains within acceptable limits, since minimum payments understate the true cost of carrying the balance to maturity.

Example. An applicant carries a \$14,000 aggregate revolving balance against \$45,000 in available limits. Considered alongside income of \$85,000, this balance is not, by itself, a cause for concern, but the corresponding utilization figure should still be reviewed.

13.4.3 Revolving Utilization

DEFINITION

Revolving Utilization is the ratio of aggregate Revolving Balance to aggregate available revolving credit limits, expressed as a percentage.

CALCULATION

Revolving Utilization = Aggregate Revolving Balance ÷ Aggregate Revolving Credit Limits, expressed as a percentage.

INTERPRETATION

Revolving Utilization is one of the strongest available proxies for near-term financial stress and is heavily weighted in most credit scoring methodologies reflected in the applicant's FICO Score (Section 13.5.1). Rising utilization, even before any payment default occurs, frequently precedes deterioration in repayment behavior.

RISK THRESHOLDS

Utilization Band	Risk Classification
Below 30%	Low
30% – 50%	Moderate
50% – 75%	Elevated
Above 75%	High

ACCEPTABLE RANGES

Utilization below 30% is generally viewed as consistent with disciplined revolving credit management. Utilization above 75% warrants close review of the balance trend (increasing versus stable or declining) reported over recent bureau history where available.

BUSINESS IMPACT

An increase in Revolving Utilization since a borrower's last bureau pull, particularly for an existing Bank customer being considered for an additional facility, should be treated as an early warning indicator warranting closer review of the current application, irrespective of whether DTI still falls within acceptable limits.

Warning Sign. Revolving Utilization above 75% combined with a debt consolidation Loan Purpose (Section 13.3.4) should prompt Credit Officers to confirm that the consolidation will meaningfully reduce ongoing utilization rather than simply relocating the balance.

13.4.4 Mortgage Accounts

DEFINITION

Mortgage Accounts is the count of open mortgage tradelines reported on the applicant's credit bureau file.

INTERPRETATION

The presence of one or more Mortgage Accounts, combined with a current payment history, supports the Home Ownership assessment in Section 13.2.3 and confirms that housing costs are already reflected in the bureau-derived DTI calculation.

RISK THRESHOLDS

A single, current Mortgage Account is a neutral-to-positive indicator. Multiple Mortgage Accounts should prompt review of whether the applicant holds investment property, which may indicate either additional income (rental) or additional undisclosed obligations that should be confirmed.

BUSINESS IMPACT

Where Mortgage Accounts show any history of delinquency, this should be weighted heavily in the overall credit assessment given the priority nature of mortgage obligations in most borrowers' payment hierarchies.

13.4.5 Total Accounts

DEFINITION

Total Accounts is the count of all credit accounts, open and closed, reported on the applicant's credit bureau file over their full credit history.

INTERPRETATION

Total Accounts is a general proxy for the depth and length of the applicant's credit experience. A very low Total Accounts count may indicate a thin credit file, which limits the reliability of bureau-based risk scoring generally, while a very high count combined with a short Credit History Length may indicate rapid, potentially destabilizing account acquisition.

BUSINESS IMPACT

Thin-file applicants (very low Total Accounts) should be underwritten with additional weight placed on verified income, employment stability, and any available alternative payment history, since bureau-based scoring carries less statistical reliability for this population.

13.4.6 Open Accounts

DEFINITION

Open Accounts is the count of currently active, open credit accounts reported on the applicant's credit bureau file.

INTERPRETATION

Open Accounts reflects the applicant's current active credit footprint and, considered against Total Accounts, indicates the proportion of historical accounts that remain active. A large number of recently opened accounts is a pattern associated with elevated near-term risk, as it may indicate credit-seeking behavior preceding financial stress.

BUSINESS IMPACT

Credit Officers should review the recency of newly Open Accounts in combination with Revolving Utilization; a pattern of multiple new accounts opened in the months preceding the application, combined with rising utilization, is a compounding risk indicator rather than two independent, additive concerns.

13.5 Credit History Features

This section documents the features derived from the applicant's credit bureau history that establish repayment track record and willingness to repay.

13.5.1 FICO Score

DEFINITION

FICO Score is the standardized credit bureau risk score, generally ranging from 300 to 850, summarizing the applicant's historical credit behavior across payment history, utilization, credit history length, account mix, and recent credit inquiries.

RISK SIGNIFICANCE

FICO Score is the single most widely used summary indicator of repayment willingness and historical reliability, and it correlates strongly, though not perfectly, with future default probability across the Bank's consumer lending portfolio.

TYPICAL BORROWER BEHAVIOR BY BAND

FICO Band	Risk Classification	Typical Pattern
740 and above	Excellent	Consistent on-time payment history, low utilization, established file
670 – 739	Good	Generally reliable, occasional minor derogatory items possible
580 – 669	Fair	Some history of missed payments or elevated utilization
Below 580	Poor	Material derogatory history; requires full Section 13.5 review

APPROVAL IMPLICATIONS

FICO Score anchors the initial risk-tier placement referenced throughout this chapter, but must always be considered alongside DTI, income verification, and specific derogatory items (public records, bankruptcies, delinquencies); a single summary score should never substitute for review of the underlying credit file where the file is being manually underwritten or referred to Committee.

Example. An applicant with a FICO Score of 705 and no derogatory items is placed in Tier 2 pending confirmation of DTI and income verification, consistent with standard risk-tier criteria.

13.5.2 Public Records

DEFINITION

Public Records refers to the count of adverse legal or financial filings of public record associated with the applicant, such as tax liens, civil judgments, and, where separately itemized from Bankruptcies (Section 13.5.3), other court filings affecting creditworthiness.

RISK SIGNIFICANCE

Any Public Record on file is a material adverse indicator, as it reflects a legal or governmental determination of financial obligation that the applicant did not satisfy in the ordinary course.

APPROVAL IMPLICATIONS

A single, satisfied (paid or released) Public Record older than the Bank's applicable look-back period may be treated as a lesser concern than an unsatisfied or recent Public Record. Any unsatisfied Public Record should be referred to Credit Committee prior to approval regardless of other file strength.

Warning Sign. Multiple Public Records, or any Public Record combined with a Bankruptcy filing, should be treated as a strong presumptive decline absent compelling, well-documented mitigating circumstances approved at the Credit Committee level.

13.5.3 Bankruptcies

DEFINITION

Bankruptcies refers to the count and, where available, chapter classification of bankruptcy filings associated with the applicant, whether discharged, dismissed, or currently pending.

RISK SIGNIFICANCE

A bankruptcy filing is among the most severe adverse credit indicators and reflects a prior legal determination of the applicant's inability to satisfy obligations as they came due.

APPROVAL IMPLICATIONS

Standard policy requires a minimum seasoning period following discharge before an applicant is eligible for standard consumer credit products, with the specific seasoning period set by product addendum. Applicants with a pending, undischarged bankruptcy are not eligible for new credit extension under any standard product.

Where the seasoning period has been satisfied, subsequent credit behavior (particularly re-established, on-time payment history and controlled utilization) should be weighted heavily in assessing whether the applicant now presents an acceptable risk, notwithstanding the historical filing.

Example. An applicant's Chapter 7 bankruptcy was discharged four years prior to application, and the applicant has since established two revolving accounts with a clean 36-month payment history and utilization consistently below 20%. This pattern of re-established credit discipline supports consideration for standard product eligibility, subject to all other underwriting criteria.

13.5.4 Delinquencies

DEFINITION

Delinquencies refers to the count of past-due payment events reported on the applicant's credit bureau file, typically categorized by severity (for example, 30, 60, 90, or 120+ days past due) and recency.

RISK SIGNIFICANCE

Delinquencies are a direct, historical measure of the applicant's payment reliability and are among the most predictive indicators of future default risk, particularly where recent and severe.

APPROVAL IMPLICATIONS

Delinquency Pattern	Typical Treatment
No delinquencies in trailing 24 months	No additional treatment required
Isolated 30-day delinquency, aged, explained	Standard treatment with documentation of explanation
Multiple delinquencies or any 90+ day event in trailing 12 months	Elevated risk tier; Committee referral for standard products
Current delinquency on any account	Decline pending resolution

BUSINESS INTERPRETATION

Recency and severity matter more than raw count: a single, aged, well-explained delinquency (for example, tied to a documented medical event) is materially different in risk terms from a recent, unexplained, severe delinquency, even where the total count is identical.

13.5.5 Credit History Length

DEFINITION

Credit History Length is the duration, typically in years, since the applicant's oldest reported credit account was opened.

RISK SIGNIFICANCE

A longer Credit History Length generally provides a more statistically reliable basis for assessing the applicant's long-run repayment behavior and supports greater confidence in the FICO Score and other bureau-derived metrics.

APPROVAL IMPLICATIONS

Short Credit History Length (a "thin" or "young" file) should prompt additional weight on verified income and employment stability, consistent with the treatment described in Section 13.4.5, since scoring reliability is reduced for these files.

Example. A 24-year-old applicant with three years of credit history and no derogatory items presents a favorable but statistically thinner file; verified income and employment documentation should be given additional weight in the overall assessment relative to a borrower with a longer history.

13.5.6 Late Payments

DEFINITION

Late Payments refers to the count of payments reported as late (typically 30 days or more past the due date) across the applicant's active tradelines within a defined look-back window, distinct from the broader Delinquencies measure in that it may include more granular, recent payment-level detail.

RISK SIGNIFICANCE

Late Payments in the most recent reporting periods are a leading indicator of emerging financial stress and should be reviewed even where the applicant's overall FICO Score remains in an acceptable band, since score updates may lag the most recent payment behavior.

APPROVAL IMPLICATIONS

Any Late Payment reported within the most recent one to two reporting cycles should prompt the Credit Officer to request an updated bureau pull immediately prior to final decisioning, to confirm the applicant's current standing before funding.

13.6 Feature Relationships and Combined Risk Interpretation

No feature documented in this chapter should be evaluated in isolation. This section provides guidance on interpreting common combinations encountered in practice. Credit Officers should treat these patterns as illustrative rather than exhaustive; any combination not addressed here that presents ambiguity should be escalated for supervisory review.

High Income + High DTI

A high Annual Income does not offset an elevated Debt-to-Income Ratio; DTI is already expressed as a proportion of income and therefore already accounts for income level. An applicant earning \$180,000 with a DTI of 48% presents materially higher affordability risk than an applicant earning \$70,000 with a DTI of 25%, notwithstanding the disparity in absolute income. High-income applicants presenting high DTI should be assessed on the same DTI thresholds as any other applicant; income level should not be used to justify an exception to the standard DTI ceiling.

Low Income + Low DTI

An applicant with modest income but a correspondingly low DTI (indicating minimal existing obligations and a conservative proposed installment) may present an entirely acceptable, low-risk profile. Credit Officers should avoid treating income level as a standalone proxy for risk where the affordability math, verified, supports the proposed obligation.

High Loan Amount + Excellent Credit

Excellent credit history and a strong FICO Score support approval of larger Loan Amounts, but Credit Officers must still confirm that the resulting Installment satisfies DTI thresholds and that the amount does not exceed applicable product and risk-tier ceilings; strong credit history expands the range of acceptable structuring options but does not eliminate affordability requirements.

Poor Credit + Long Employment

Long, stable employment tenure is a favorable stability indicator but does not offset material adverse credit history such as recent severe delinquencies, unsatisfied public records, or an unseasoned bankruptcy. Employment stability may support a Committee decision to consider structured or reduced approval where credit history is moderately, rather than severely, impaired, but it does not cure disqualifying credit history on its own.

High Revolving Utilization + Good Income

Good income does not, by itself, resolve the risk signal carried by high Revolving Utilization, which reflects behavioral credit management rather than income sufficiency. Where a debt consolidation Loan Purpose is proposed, this combination may still support approval provided the consolidation structurally reduces the applicant's utilization going forward and the file is documented accordingly.

Verified Income + Strong Credit History

This combination represents the Bank's most straightforward approval profile: verified income supports confidence in the affordability calculation, and strong credit history supports confidence in repayment willingness. Absent other adverse indicators, applications presenting this combination are generally appropriate for standard, expedited processing.

General Guidance on Combined Evaluation

Credit Officers should approach every file by first establishing the affordability position (Annual Income, Verification Status, DTI, Installment), then overlaying the credit history position (FICO Score, Delinquencies, Public Records, Bankruptcies), and finally considering stability and structural factors (Employment Length, Home Ownership, Application Type, Credit History Length). A strong result in one dimension should inform, but never automatically override, a weak result in another.

13.7 Enterprise Lending Case Studies

The following case studies illustrate the application of this chapter's guidance to representative applicant profiles. They are provided for training and reference purposes and do not, by themselves, establish binding precedent for any individual file; each file must be assessed on its own facts.

Case Study 1 — Straightforward Approval

Applicant Profile: 41-year-old salaried operations manager, 9 years at current employer, Annual Income \$88,000 (Verified), requests \$20,000 for debt consolidation over 48 months.

Feature Analysis: FICO Score 748; no Public Records, Bankruptcies, or Delinquencies; Revolving Utilization 34%; existing minimum payments \$650/month; proposed Installment \$480/month; DTI including proposed installment 15.4%; Home Ownership: Mortgage, current.

Risk Assessment: Tier 1 (Strong). All affordability, credit history, and stability indicators are favorable and mutually consistent.

Loan Decision: Approved at standard Tier 1 pricing and requested term.

Business Justification: Verified income, low DTI, strong FICO Score, and no adverse credit history support standard approval without additional structuring.

Key Lessons: This profile illustrates the Bank's target low-risk consumer lending pattern and the expedited processing path available to such files.

Case Study 2 — Approval With Structuring

Applicant Profile: 33-year-old self-employed contractor, 5 years in the same trade, Annual Income averaging \$76,000 over trailing two years (Source Verified), requests \$28,000 for home improvement over 60 months.

Feature Analysis: FICO Score 671; one isolated 30-day delinquency 22 months prior, explained by a documented medical event and not repeated; Revolving Utilization 41%; proposed Installment at requested term produces DTI of 39%.

Risk Assessment: Tier 3 (Moderate), driven principally by elevated DTI at the requested term and Source Verified (rather than fully Verified) income for a loan amount approaching the mid-range verification threshold.

Loan Decision: Counteroffer at reduced Loan Amount of \$22,000, which brings DTI to 33%, combined with a request for full income verification via two years of tax filings before final approval.

Business Justification: The isolated, explained delinquency does not independently disqualify the applicant, but the combination of elevated DTI and incomplete verification at this loan size requires both structuring and additional documentation before the file meets Tier 3 approval standards.

Key Lessons: Elevated DTI should be addressed through structuring (reduced amount) rather than override, and verification standards scale with loan size regardless of an otherwise reasonable credit profile.

Case Study 3 — Committee Referral

Applicant Profile: 52-year-old applicant, joint application with spouse, combined Annual Income \$135,000 (Verified), requests \$45,000 for major purchase over 72 months.

Feature Analysis: Primary applicant FICO Score 715 with clean history; co-applicant FICO Score 592 with a discharged Chapter 7 bankruptcy 38 months prior and one 60-day delinquency 14 months prior on a re-established account; combined DTI at requested structure 37%.

Risk Assessment: Mixed profile. Combined affordability is acceptable, but the co-applicant independently presents recent adverse history within the standard seasoning and look-back windows.

Loan Decision: Referred to Credit Committee; Committee approves at a reduced amount of \$35,000 with a shorter 60-month term, citing the primary applicant's strength, the co-applicant's demonstrated re-established payment discipline since the bankruptcy discharge, and the reduced exposure achieved through the amended structure.

Business Justification: Joint application strength must be assessed both in combination and individually; a strong primary applicant does not automatically cure a co-applicant's recent adverse history, but documented re-established credit behavior may support a structured exception at the Committee level.

Key Lessons: Joint applications require dual-level review, and Committee exceptions must be supported by specific, documented mitigating factors rather than general file strength.

Case Study 4 — Decline

Applicant Profile: 29-year-old applicant, 7 months at current employer following a recent career change, Annual Income \$92,000 (Not Verified), requests \$30,000 for debt consolidation over 60 months.

Feature Analysis: FICO Score 601; Revolving Utilization 88%; two 90-day delinquencies within trailing 12 months; one unsatisfied civil judgment on file; proposed DTI at requested structure 51%.

Risk Assessment: Tier 4 (Weak), with multiple independently disqualifying factors: unverified income at a loan size requiring verification, DTI above policy maximum, an unsatisfied Public Record, and recent severe delinquencies.

Loan Decision: Declined.

Business Justification: No single feasible structuring adjustment (reduced amount, extended term) resolves the combination of an unsatisfied Public Record and DTI materially above policy maximum on unverified income; the file does not meet minimum standards for any standard consumer product.

Key Lessons: Where multiple independent disqualifying factors are present, Credit Officers should decline promptly rather than pursue incremental structuring that cannot reasonably cure the combined risk position.

13.8 Best Practice Guidelines for Credit Officers

This section summarizes the standing practices expected of all Credit Officers, Loan Underwriters, and Risk Managers applying this chapter in day-to-day underwriting.

13.8.1 Consistency

Similarly situated applicants must be evaluated against the same standards. Credit Officers should be able to articulate, for any decision, the specific features and thresholds relied upon, such that an equivalent file would receive an equivalent outcome. Internal Audit will test for consistency as part of its periodic file review program.

13.8.2 Affordability

Affordability, as expressed through Debt-to-Income Ratio and the underlying Installment calculation, is the primary gating criterion for every consumer credit decision. No combination of favorable credit history or stability indicators should be used to override a DTI that exceeds the applicable policy maximum without a documented, Committee-approved exception.

13.8.3 Creditworthiness

Creditworthiness should be assessed using the full credit history feature set described in Section 13.5, not FICO Score alone. Credit Officers must review the specific composition of the score (delinquencies, public records, bankruptcies, utilization trend) for any file in a moderate or weaker risk tier, or for any file being considered for Committee referral.

13.8.4 Repayment Capacity

Repayment capacity should be assessed on a forward-looking, verified basis wherever the loan size or risk tier requires it. Stated income should never be treated as equivalent to verified income for approval purposes above the applicable verification threshold set out in Section 13.2.4.

13.8.5 Risk Appetite

Credit Officers operate within the risk appetite and tiering framework established by Credit Policy and the Enterprise Risk Committee. Exceptions outside standard tiering criteria require the documented approval of Credit Committee and may not be granted unilaterally by an individual Credit Officer or Branch Manager, regardless of relationship history with the applicant.

13.8.6 Responsible Lending

Every approval must reflect a genuine, documented basis for concluding the borrower can repay the obligation without undue hardship. Structuring tools (reduced amount, extended term, additional documentation) should be used to bring marginal files within acceptable standards; they should never be used mechanically to manufacture an approval where the underlying risk position remains unacceptable.

13.8.7 Manual Review Situations

The following situations require manual Credit Officer review and, where indicated, Credit Committee referral, regardless of any otherwise favorable automated risk-tier placement:

- Any unsatisfied Public Record or Bankruptcy filing within the applicable seasoning period;
- Any current delinquency on an existing account;
- DTI above the standard policy maximum;
- Income requiring verification under Section 13.2.4 that has not yet been obtained;
- Joint applications where any individual applicant independently presents disqualifying credit history;
- Loan Amount at or near the standard product ceiling combined with any risk tier below Tier 2;
- Any material inconsistency between application data and supporting documentation.

13.8.8 Summary

Sound underwriting under this chapter requires the disciplined, combined evaluation of borrower profile, loan characteristics, affordability, and credit history features described in Sections 13.2 through 13.5, informed by the relationship guidance in Section 13.6, applied consistently with the case study patterns in Section 13.7, and governed at all times by the best practice standards set out in this section. Credit Officers who are uncertain how a specific file should be treated under this chapter should escalate to their Risk Manager or to Credit Policy prior to decisioning, rather than proceeding on an inconsistent or undocumented basis.

End of Chapter 13 — Stratum Capital Bank Enterprise Governance & Risk Framework — Internal Use Only — Refer to Chapter 9 (Pricing & Product Governance) and Chapter 14 (Portfolio Monitoring & Early Warning Indicators) for related policy.